

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-04

CHINA UNITED LINES, LTD.,

Complainant,

v.

AMAZON.COM SERVICES LLC,

AMAZON LOGISTICS INC.,

AND

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.,

Respondents.

RESPONDENTS' MOTION FOR SUMMARY DISPOSITION

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INTRODUCTION

This case does not concern cargo transportation, freight charges, false billing, false classification, or any other practice addressed by Section 41102(a). The undisputed record shows that Complainant China United Lines Ltd. (“China United”) carried cargo for its contractual counterparty Amazon.com Services LLC (“Amazon”) and that Amazon paid the agreed contract rate for every shipment. It also shows that no party alleges any impropriety in the tender, transportation, delivery, classification, weighing, or billing of cargo. Instead, China United seeks to convert a contract dispute concerning termination rights into a Shipping Act claim. The Presiding Officer recognized in a July 10, 2026 Order¹ that China United’s only remaining claim in this proceeding, under 46 U.S.C. § 41102(a), is based on a shifted theory of liability that could be disposed of as a matter of law, and in a June 12, 2026 Order² observed that in light of China United’s revised position it is “not clear that China United’s current theory states a Shipping Act claim.” APP 26-27, *June 12 Order* at 1-2.

The dispute arises from an April 2022 service contract that prohibited China United from using Amazon’s name, trademarks, logos, or other proprietary rights without Amazon’s prior written consent and authorized Amazon to terminate the agreement for cause if China United violated those restrictions. After discovering that China United had publicly used Amazon’s name without the written consent required by the agreement, a fact China United does not dispute, Amazon terminated the contract for cause. China United’s assertion that the termination was improper is the subject of a separate action pending in the Southern District of New York (“Southern District”).

¹ See APP 35-37, Dkt. No. 79, Fourth Revised Scheduling Order (July 10, 2026) (“*July 10 Order*”).

² See APP 25-34, Dkt. No. 76, Order on Pending Motions (June 12, 2026) (“*June 12 Order*”).

China United's sole remaining claim is based not on any alleged deception relating to cargo transportation, but on allegations that Amazon did not properly terminate the contract for cause. Those allegations do not resemble the fraud, concealment, false billing, false classification, false weighing, or similar conduct that Section 41102(a) prohibits.

Summary disposition is warranted on two independent grounds. First, China United has neither alleged nor produced evidence of the type of fraud or concealment in connection with the carriage or release of cargo required to establish a Section 41102(a) violation. Second, China United has no legally cognizable theory of reparations. It identifies no actual injury, as required by 46 U.S.C. § 41305, and relies exclusively on a tariff rerating theory under 46 C.F.R. § 530.10 that the Presiding Officer has already held inapplicable and that China United's own expert conceded does not fit the facts of this case. Amazon is entitled to summary disposition as a matter of law.

STATEMENT OF FACTS³

A. The Service Contract and Its Publicity Provisions.

The parties' dispute arises from an April 2022 service contract between China United as an ocean carrier and Amazon as a shipper.⁴ Among other provisions, the parties' agreement prohibited China United from using Amazon's trade name, trademark, logo, or other proprietary rights without Amazon's prior written consent, and authorized Amazon to terminate the agreement immediately for cause if China United violated that restriction. *See* SMF ¶¶ 1-4, 18; Main Transportation Agreement ("MTA"), Section 7(2), Attach. A to Dkt. No. 13, Resp. Motion to

³ This section summarizes undisputed facts set forth in the Statement of Material Undisputed Facts ("SMF").

⁴ The Amended Complaint contains no allegations that ALI or BCJ took any of the actions that underlie its allegations of wrongdoing and this Motion will refer simply to "Amazon."

Dismiss (Confidential) (March 26, 2025)⁵ (providing that China United “will not use Amazon’s trade name, trademark, service mark, logo, commercial symbol, or any other proprietary rights without Amazon’s prior written consent.”); *see also* MTA Section 7(1) (incorporating NDA with substantially similar provision (collectively the “Publicity Provisions”)). Amazon was not required to seek China United’s written consent before publicly using China United’s name. SMF ¶ 5. China United was aware of the Publicity Provisions at all relevant times, and on three separate occasions requested Amazon’s consent to publicize Amazon’s name, with Amazon denying each request. SMF ¶¶ 6-10, 12-13.

On April 1, 2023, Amazon notified China United of its election to terminate the Work Order for convenience following the required 90-day notice period, which would have triggered a liquidated damages provision. SMF ¶¶ 14-15. Amazon paid contract rates above China United’s tariff rates and market rates during the notice period. SMF ¶ 16. During that notice period, however, Amazon discovered that China United had breached the Publicity Provisions by using Amazon’s name without its prior written consent. *See* SMF ¶ 17. Because that violation constituted grounds for termination for cause, Amazon issued a superseding notice on June 7, 2023, terminating the MTA for cause with immediate effect. SMF ¶ 20. A termination for cause does not entitle China United to liquidated damages.

B. The Undisputed Record Shows No Shipping-Related Misconduct by Amazon.

The record regarding the shipments made under the Contract is undisputed. Neither party has contended that any cargo was tendered, shipped, delivered, or received improperly, or that Amazon did not pay for each shipment at the contract rate. China United does not allege, and

⁵ Pursuant to Dkt. No. 5, Presiding Officer’s Initial Order (Jan. 23, 2025), evidence relied upon that has previously been provided by either party is cited rather than included in the appendix as a differently numbered copy of the same evidence.

nothing in the record shows, that Amazon engaged in any act of false billing, false classification, false weighing, false reporting of weight, false measurement, or similar action with respect to any of these shipments. SMF ¶¶ 21-23.

Despite this lack of evidence as to any act of the type listed under 46 U.S.C. § 41102(a), China United asserts that Amazon’s “inaction/silence in the face of” China United’s unauthorized use of Amazon’s name, and Amazon’s later termination of the contract for cause based on this material breach, constitute “an act of concealment” under Section 41102(a). *See* APP 53-54, Dkt. No. 80, Complainant’s July 10 Interrog. Resp., at 2-3. China United cites two main instances of conduct: (1) Amazon’s failure to object to its use of Amazon’s name on a welcome banner displayed during a private meeting at the TraPac terminal in Los Angeles/Long Beach and an Amazon employee’s compliment of the banner; and (2) Amazon’s publication of a post on its own WeChat platform referencing China United and its failure to object when China United posted its own content, which relied in part on Amazon’s posts, about the parties’ relationship. SMF ¶¶ 25-26. Neither of these describes any fraud, deceit, or concealment by Amazon with respect to any particular cargo or shipment. Rather, they are allegations that Amazon did not properly terminate the contract because it had supposedly waived the publicity provision by not objecting sooner to China United’s use of its name.

C. China United’s Damages Theory

China United has not presented any evidence of injury or loss from the violation it alleges and instead asserts a reparations claim based on a tariff rerating theory. SMF ¶¶ 27-28, 30-31. The Presiding Officer has already held that the regulation on which China United’s rerating theory is based, 46 C.F.R. § 530.10, is inapplicable to this proceeding. *See* APP 23-24, June 6, 2025 Order Partially Granting Motion to Dismiss, at 22-23 (June 6, 2025) (“*June 6 Order*”). China United’s own expert conceded as much at his deposition. SMF ¶ 39 (expert Kardian agreeing that the

regulation requires the cancellation to be unanticipated by the service contract and acknowledging that the contract expressly contemplated liquidated damages in the event of a termination for convenience by Amazon and termination for cause without liquidated damages).

PROCEDURAL HISTORY

China United brought a contract action in the Southern District of New York in November 2023, alleging that it had entered into a binding contract for payment of liquidated damages of approximately \$31 million pursuant to a notice of termination for convenience, and that Amazon's termination for cause was invalid. *See* Att. D to Dkt. No. 13, Resp. Motion to Dismiss (Confidential) (March 26, 2025). The first of those claims has been abandoned. APP 56-58, *Stipulated Dismissal of Count I, China United Lines, Ltd., v. Amazon.com Services LLC*, No. 1:23-cv-10313, ECF No. 67 (S.D.N.Y., May 21, 2026). Post-trial briefing is complete on the second claim and the matter is awaiting decision from Judge Castel. *See* APP 217-218, Southern District Trial Tr. at 133-134, *China United Lines, Ltd. v. Amazon.com Services, LLC*, No. 1:23-cv-10313 (S.D.N.Y. June 16, 2026).

China United instituted this proceeding nearly 16 months after bringing the contract action, in January 2025. *See* Dkt. No. 1, Verified Complaint (Jan. 9, 2025); APP 38-40. Four of the five claims in the currently operative Amended Complaint, including Count V, which sought reparations in the form of a rerating from contract to tariff rates pursuant to 46 C.F.R. § 530.10, were dismissed in an Order issued June 6, 2025. *See* Dkt. No. 11, Verified Amended Complaint (Feb. 5, 2025) APP 41-43; APP 19-24, *June 6 Order* at 18-23. China United excepted to those dismissals, and its exceptions are pending before the Commission. *See* Dkt. No. 28, Complainant's Appeal of Order Partially Granting Motion to Dismiss (June 30, 2025).

The *June 6 Order* allowed the one remaining claim, alleging a violation of Section 41102(a), to go forward based on the theory presented in China United’s briefing that Amazon, “fraudulently induced Complainants to enter into the contract by misrepresenting their intentions to fulfill MQC commitments or to pay liquidated damages, [and] also deceptively continued to obtain transportation services from Complainant at less than applicable rates.” APP 12, *June 6 Order* at 11 (quoting APP 46-47, China United’s Opposition to the Motion to Dismiss, at 11-12). On this basis, the *June 6 Order* held that an allegation that Amazon “entered into the service contract with the intent of obtaining lower shipping rates and then terminating the contract without paying liquidated damages agreed to if the market shipping rates fell” could be a matter peculiar to the Shipping Act that fell within the Commission’s jurisdiction. *Id.*

After discovery proceeded and China United changed counsel, China United abandoned this theory of fraudulent inducement. *See* APP 50, Dkt. No. 53, Resp. Opposition to Comp. Motion for Protective Order (Jan. 20, 2026) at 5 (citing Ex. 2 at 6) (“CUL no longer asserts that Amazon entered into the service contract with the intent of terminating and not paying the shortfall penalty.”). China United’s current theory, as set forth in its July 10 interrogatory response, is that Amazon, after giving notice of its intent to terminate the contract for convenience, concocted a pretextual theory of termination for cause to avoid its obligation to pay liquidated damages. *See* APP 53-54, Dkt. No. 80, Complainant’s July 10 Interrog. Resp., at 2-3. China United’s Chief Executive Officer confirmed at his deposition that Amazon’s allegedly wrongful act was its failure to pay the liquidated damages. *See* APP 126-128, Transcript of Raymond Chen Deposition (“Chen Dep. Tr.”) at 61:23-63:07.

China United’s initial Complaint and Amended Complaint each claimed reparations of \$96 million. *See* APP 40, Dkt. No. 1, Verified Complaint (Jan. 9, 2025) at ¶ 47; APP 43, Dkt. No. 11,

Verified Amended Complaint (Feb. 5, 2025) at ¶ 47. China United has never explained how this amount was calculated, and its expert witness could not do so during his deposition. *See* APP 167-169, Transcript of David St. Amand Deposition (“St. Amand Dep. Tr.”) at 14:17-16:22. Instead, China United’s expert report presented two alternative calculations of reparations: one yielding a claim of \$157 million, and another of \$384 million. SMF ¶¶ 35-37. These calculations are based on “rerating” the cargo carried under the contract from contract rates to tariff rates. SMF ¶ 31. For the periods where China United had a tariff in place for the port pair under which the contract cargo moved (Yantian-LA/Long Beach) this “rerating” yielded a negative number because the contract rate was higher than China United’s applicable tariff rate. SMF ¶¶ 35, 37. China United’s requested reparations are instead based on a rerating using a “placeholder” non-rate rule during the time periods when China United did not have an effective tariff in place for the Yantian-LA/Long Beach port pair. SMF ¶¶ 32-34, 36.

LEGAL STANDARD

The Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions for summary decision, and Commission Rule 12 states that the Federal Rules of Civil Procedure (“Federal Rules”) will be followed in such cases. 46 C.F.R. § 502.12. “The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties’ motions for summary decision.” *Intermodal Motor Carriers Conference v. OCEMA*, Dkt. No. 20-14, 2024 WL 641501, at *9 (FMC Feb. 13, 2024).

Pursuant to Federal Rule 56, a party is entitled to the entry of summary judgment if “there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” Fed. R. Civ. P. 56(a). A material fact is one that is capable of affecting the outcome of litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). However, “[t]o defeat a

motion for summary judgment, the non-moving party must offer more than mere unsupported allegations or denials.” *Dormu v. District of Columbia*, 795 F. Supp. 2d 7, 17 (D.D.C. 2011) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986)). If the non-movant’s evidence is “merely colorable” or “not significantly probative,” summary judgment may be granted. *Tucker v. Johnson*, 211 F. Supp. 3d 95, 99 (D.D.C. 2016) (quoting *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 249-50 (1986)).

The mere existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. *Anderson*, 477 U.S. at 247-48. Rather, “[w]here the record taken as a whole could not lead a rational trier of fact to find for the non-moving party, there is no ‘genuine issue for trial.’” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted). However, the inferences to be drawn from the underlying facts must be viewed in the light most favorable to the non-moving party. *Matsushita*, 475 U.S. at 587.

The Commission has emphasized that: “At the summary judgment stage, the role of the judge “. . . is not [] to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial.” The party seeking summary judgment . . . has the burden of demonstrating that there is no genuine issue of material fact.” *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.*, Docket No. 06-06, 31 S.R.R. 540, 545, 2008 WL 7149852 (FMC Dec. 18, 2008) (citations omitted).

ARGUMENT

Amazon is entitled to summary disposition on two independent grounds. First, China United’s sole remaining claim under Section 41102(a) fails as a matter of law because China United neither alleges nor can show fraud or concealment in connection with the carriage or release of cargo. The conduct on which China United relies, a dispute over contractual

termination rights, is far removed from the false billing, false classification, false weighing, false measurement, or comparable deceptive shipping practices that Section 41102(a) prohibits.

Second, summary disposition is independently warranted because China United has no legally cognizable theory of reparations. It has offered no evidence of actual injury, as required by the Shipping Act, and its only damages theory rests on a tariff rerating theory under 46 C.F.R. § 530.10 that the Presiding Officer has already held inapplicable and that China United's own expert conceded does not fit the facts of this contract. Its damages calculations are therefore both unsupported and legally deficient.

Because either ground standing alone requires dismissal with prejudice, the Presiding Officer need not reach both.

I. SUMMARY DISPOSITION IS APPROPRIATE FOR CHINA UNITED'S REMAINING CLAIM

A. A Section 41102 Claim Requires an Allegation of Fraud or Concealment with Respect to the Carriage or Release of Cargo as a Matter of Law.

As the Presiding Officer explained in the *June 12 Order*, Section 41102(a) prohibits a person from knowingly and willfully obtaining, or attempting to obtain, ocean transportation at less than the applicable rates "by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means." 46 U.S.C. § 41102(a). A claim under the statute requires: "(1) knowing and willful conduct; (2) through which, either 'directly or indirectly,' by means of the actions enumerated in the statute or through 'any other unjust or unfair device or means;' (3) respondent obtained or attempted to obtain ocean transportation at lesser rates." *Muhammad Rana v. Michelle Franklin d/b/a "The Right Move," Inc.*, Dkt. No. 19-03, 5 F.M.C.2d 7, 2022 WL 1744905, at *7 (FMC May 25, 2022); *see also OC Int'l Freight, Inc.*, Dkt. No. 12-01, 2014 WL 5316336, at *4 (FMC July 31, 2014).

The *June 12 Order* further recognized that “fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means,” and that whether conduct qualifies as an unjust or unfair device depends on its similarity to false billing, false classification, or the other conduct specifically identified in the statute. APP 27, *June 12 Order* at 2 (quoting *United States v. Open Bulk Carriers*, 727 F.2d 1061, 1064 (11th Cir. 1984)). That principle reflects longstanding precedent giving Section 41102(a) a “restrictive meaning derived from [its] proximity to the words false billing, etc.” *Pacific Far East Lines*, 10 S.R.R. 1, 6 (FMC 1968), *aff’d*, 410 F.2d 257 (D.C. Cir. 1969); *see also Rose Int’l, Inc. v. Overseas Moving Network, Int’l*, Dkt. No. 96-05, 2001 WL 865708, at *46, *58 (FMC 2001) (requiring a showing of fraud or concealment, citing *U.S. v. Open Bulk Carriers*, 727 F.2d at 1064).⁶

The same limitation is dispositive here. The *June 12 Order* noted that Amazon’s marketing and confidentiality restrictions “differ significantly from the listed concerns of false billing, false classification, false weighing, false report of weight, and false measurement, which all relate to information provided about the cargo tendered.” APP 31, *June 12 Order* at 6. As the Commission stated in *Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, Dkt. No. 24-17, 2025 WL 2207363, at *18 (FMC July 30, 2025), Section 41102(a) violations have “all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo.” Prior cases finding actionable fraud or concealment likewise involved deception connected to the tender, booking, carriage, or release of cargo. *See, e.g., Hohenberg Bros.*, 316 F.2d at 381 (respondent admitted awareness of false classification of cargo rendered for carriage);

⁶ *See also Hohenberg Bros. Co. v. Federal Maritime Commission*, 316 F.2d 381 (D.C. Cir. 1963); *Ambler v. Bloedel Donovan Lumber Mills*, 68 F.2d 268 (9th Cir. 1933); *Prince Line, Ltd. v. American Paper Exports, Inc.*, 55 F.2d 1053 (2d Cir. 1932); *Armour Packing Co. v. United States*, 153 F. 1 (8th Cir. 1907), *aff’d*, 209 U.S. 56 (1908); and *United States v. Hanley*, 71 F. 672 (N.D. Ill. 1896).

OC Int'l Freight, Inc., Dkt. No. 12-01, 2014 WL 5316336, at *4-6 (FMC 2014) (Non-Vessel-Operating Common Carrier and shipper provided confidential service contract rates for carriage of cargo of a foreign entity they knew to be unlicensed and not eligible for the rates); *Muhammad Rana v. Michelle Franklin d/b/a "The Right Move," Inc.*, Dkt. No. 19-03, 2022 WL 1744905, at *17 (FMC May 25, 2022) (respondent hid the financial state of its business to induce complainant to book services, made false promises, and blamed a "fictitious third party" for service failures).

China United's theory bears no resemblance to those cases. Its claim rests on Amazon's alleged failure to object to a hospitality banner, Amazon's own WeChat posts, and Amazon's later exercise of contractual termination rights. Those allegations concern contract administration and alleged waiver of contractual protections. They do not involve false billing, false classification, false weighing, false measurement, or any comparable cargo-related deception. Section 41102(a) is not an omnibus statute that allows a complainant to challenge any conduct that it disagrees with and seeks to characterize as improper; rather, the Commission has held it has a "restrictive meaning" derived from the specific acts prohibited such as false billing, false classification, and false weighing. *Pacific Far East Lines*, 10 S.R.R. at 6.

B. China United Does Not Allege Conduct that Violates Section 41102(a), Much Less Have Any Evidence That Raises a Genuine Issue of Material Fact as to Whether Such a Violation Occurred.

1. The Commission Lacks Jurisdiction Over Pure Contract Claims.

China United's allegations concern whether Amazon waived compliance with the parties' publicity provisions and whether Amazon properly exercised its contractual termination rights. Those are questions of contract interpretation and enforcement currently being litigated in the Southern District proceeding. China United's allegations do not involve the regulation of ocean transportation rates, cargo handling, tariff administration, or any other matter peculiar to the

Shipping Act. Because China United has failed to even allege conduct that involves matters peculiar to the Shipping Act, the dispute is beyond the Commission's jurisdiction. *See* 46 U.S.C. § 40502(f). As the *June 12 Order* recognized, the conduct alleged by China United "differ[s] significantly" from the types of conduct traditionally addressed by Section 41102(a) and does not clearly relate to the purported Shipping Act violation. APP 31-32, *June 12 Order* at 6-7.

2. *China United's Specific Allegations Do Not Approach Fraud or Concealment.*

China United's Section 41102(a) claim relies on Amazon's failure to object to a welcome banner displayed during a non-public meeting, an Amazon employee's later compliment about that banner, and Amazon's own online references to China United. APP 54-55, Dkt. No. 80, Complainant's July 10 Interrog. Resp., at 3-4. These allegations, even if credited, do not show fraud or concealment in connection with the carriage or release of cargo. They relate only to China United's assertion that Amazon waived contractual publicity restrictions.

The record confirms the opposite of concealment. Amazon consistently refused China United's requests to waive the Publicity Provisions and never gave written consent to China United's use of its name that the contract required. APP 54, Dkt. No. 80, Complainant's July 10 Interrog. Resp., at 3; APP 96, Transcript of Yew Ping Teo Deposition ("Teo Dep. Tr.") at 21:08-18 (Q: "... CUL never got permission to use Amazon's name as a customer on its website?" A: "Correct."). Mr. Teo, China United's designated corporate representative and senior operations executive responsible for the Amazon account, confirmed that China United never asked Amazon about what it now claims was an apparent change in position. APP 104-105, Teo Dep. Tr. at 40:07-41:22 (Q: "But didn't anyone ever think to reach out... and say, 'Why is there an inconsistency here?'" A: "No, we didn't"). China United's own expert testified that China United should have raised the matter with Amazon before it chose to go ahead and use its name. APP 137-139, Kardian Dep. Tr. at 94:09-96:06. Nothing in that record supports a finding of fraud or concealment.

China United also suggests that Amazon delayed asserting China United's breach and that its silence during ramp-down discussions falsely implied that the contract would terminate under Amazon's earlier notice of termination for convenience. APP 54, Dkt. No. 80, Complainant's July 10 Interrog. Resp., at 3. China United cites no authority requiring a party to assert a contractual right immediately upon learning of a breach, much less authority treating any delay as actionable fraud under Section 41102(a). Nor does China United identify any rule barring a party from terminating for cause after previously giving notice of termination for convenience. Amazon's corporate representative testified that Amazon notified China United promptly after completing legal review and due diligence to ensure it had properly understood Mandarin-language materials. APP 132-134, Cardadeiro Dep. Tr. at 128:7-130:13.

The Commission has long held that transparent, open conduct cannot violate Section 41102(a). *See Philippine Merchants Steamship Co., Inc. v. Cargill, Inc.*, 9 FMC 155, 165 (1965). A Section 41102(a) violation requires *concealment* or *deception*—the kind of hidden conduct that lets a shipper obtain transportation at a rate below what would otherwise apply. The provisions of the parties' agreements were open and known to both sides. As the *June 12 Order* notes, "[t]he parties had access to the terms of their agreements and knew what was in them." APP 32, *June 12 Order*, at 7 (citing *June 6 Order*, at 11 (APP 12)); *see also* APP 121-122, Chen Dep. Tr. at 23:07-24:05 (confirming "the entire agreement was described to [R. Chen]" by his team). China United's knowledge indisputably extended to the Publicity Provisions that were the basis of Amazon's termination for cause, as China United had requested Amazon's approval of publicity under their terms on several occasions. SMF ¶¶ 6-10, 12-13; APP 123, Chen Dep. Tr. at 30:14-18 (Q: "Are you aware that on a few occasions, China United Lines asked Amazon for permission to publicize

the relationship between China United Lines and Amazon?” [Chen]: “I am aware of it”). Without concealment or deception, there is no Section 41102(a) violation.

3. *China United Does Not Allege Fraud or Concealment Connected to Any Shipment or Release of Cargo.*

China United’s Chief Executive Officer admitted at his deposition that its grievance is Amazon’s refusal to pay liquidated damages, not any misrepresentation as to the rates or charges applicable to any cargo. *See* APP 126-128, Chen Dep. Tr. at 61:23-63:07. That admission is fatal. China United’s allegations concern matters of contract administration, whether Amazon waived compliance with the Publicity Provisions and whether it properly exercised its contractual termination rights, not any “false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, [to] obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply” as required by Section 41102(a).

To violate Section 41102(a), the conduct must partake in some element of falsification, deception, fraud, or concealment. None of the conduct China United alleges meets that standard. And the unjust means must be used to “obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” None of the conduct China United relies on meets that standard either: China United complains that Amazon avoided liquidated damages, not that Amazon avoided the rates or charges applicable to any cargo. *See Samsung Electronics America*, 2025 WL 2207363, at *18 (Section 41102(a) violations have “all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo.”). That gap not only provides an independent basis for summary disposition of China United’s Section 41102(a) claim but also shows how far China United’s theory departs from Section 41102(a) precedent.

Summary disposition should be granted dismissing China United's Section 41102(a) claim.

II. SUMMARY DISPOSITION IS APPROPRIATE ON THE INDEPENDENT GROUND THAT CHINA UNITED HAS PRESENTED NO LEGALLY COGNIZABLE THEORY OF REPARATIONS.

China United's reparations claim fails for three independent reasons. First, the Shipping Act authorizes reparations only for actual injury, and China United has not alleged any actual injury. Second, China United's reparations claim rests solely on a tariff rerating theory under 46 C.F.R. § 530.10 that the Presiding Officer has already held inapplicable to this case. Third, even if rerating were appropriate, China United's rerating calculations are unsupported and economically implausible, relying on a non-applicable placeholder tariff provision that produces awards untethered to any rate actually charged, paid, or contemplated by the parties. For each of these independent reasons, China United cannot establish a viable claim for reparations under the Shipping Act.

A. China United Has Not Alleged or Provided Evidence of an Actual Injury as Required for a Reparations Claim.

The Shipping Act provides reparations only upon a showing of actual injury. 46 U.S.C. § 41305(b) ("If the complaint was filed within the period specified in section 41301(a) of this title, the Federal Maritime Commission shall direct the payment of reparations to the complainant **for actual injury caused** by a violation of this part.") (emphasis added). In *Muhammad Rana v. Michelle Franklin d/b/a The Right Move, Inc.*, the Commission awarded reparations for damages that were the "direct result" of the respondent's concealment and misrepresentations, including its failure to disclose that freight charges had not been paid. That concealment delayed the shipment, causing the complainant to incur additional expenses, which were substantiated by receipts. Dkt. No. 19-03, 2022 WL 1744905, at *16-17 (FMC May 25, 2022). By contrast, China United offers no evidence that it suffered any out-of-pocket loss, unpaid freight, spoiled cargo, additional

operational expense, or any other concrete injury flowing from the conduct it alleges. Amazon paid every invoice China United issued, at contract rates that China United's own expert conceded exceeded both market rates and China United's applicable tariff rates for nearly the entire life of the contract. *See* SMF ¶ 16; APP 161, St. Amand Expert Report, Figure 6.

B. China United's Rerating Theory Is Foreclosed by the Presiding Officer's Prior Determination that 46 C.F.R. § 530.10 Is Inapplicable.

Even if China United's rerating theory were a proper basis for reparations, and it is not, it is based on a regulation that has already been ruled inapplicable to this proceeding:

Accepting the factual allegations in the complaint as true, the parties' agreements specifically addressed termination of the service contract and the parties negotiated the terms of such termination, including its impact on minimum quantity commitments and liquidated damages. Because contract termination was addressed in the agreement, such termination was not "unanticipated by the service contract." 46 C.F.R. § 530.10(e). Complainant does not point to any cases supporting their allegation that the specific facts would need to be anticipated.

APP 23, *June 6 Order* at 22.

China United's expert witness agreed that, for rerating to apply, the circumstances must meet the definition of cancellation in 46 C.F.R. § 530.10: "an event which is unanticipated by the service contract." SMF ¶ 39. China United's expert witness subsequently agreed that, comparing the service contract to the language of the statute, the contract anticipated that if Amazon terminated for convenience early without meeting the minimum quantity commitment, Amazon would pay liquidated damages, and if China United breached the Publicity Provisions Amazon could terminate for cause. SMF ¶ 39, *see also* ¶¶ 15, 18. The Presiding Officer's determination that the rerating regulation is inapplicable was thus confirmed by China United's own expert. China United's rerating theory is improper, and it has no other theory of reparations.

C. Even if a Rerating Remedy Were Appropriate, China United's Claimed Damages Are Unsupported and Legally Deficient.

For the periods where China United had a tariff in place for the port pair under which the contract cargo moved (Yantian-LA/Long Beach) a “rerating” from contract to tariff rates would yield a negative number because the contract rate was higher than the applicable tariff rate.⁷ SMF ¶¶ 35, 37. China United’s alleged reparations were thus based on rerating to a “placeholder” rate rule, which provided a non-rate weight-volume calculation that equates to approximately \$35,000 per FEU, during the time periods when China United did not have an effective tariff in place. SMF ¶¶ 34, 36. There is no evidence in the record that any carrier ever actually charged or intended to charge at this astronomical rate, and the parties had in fact expressly agreed that Amazon would not pay any tariff rates at all (unless they were lower than contract rates). Work Order, Sched. 3, § 6(b)–(d), attached as Ex. C to Respondents’ Mot. to Dismiss, Dkt. No. 16, at 49 (§ 6(b): “LSP may not assess... any charges in LSP’s governing tariffs or other external documents to any cargo transported along the Lanes”); APP 177, St. Amand Dep. Tr. at 140:04-22 (Q: “Okay. And are you ever aware of any shipper in the history of the world ever paying \$35,000 to move a 40-foot container?” A: “I have not seen that.”); APP 205-207, Transcript of John McCown Deposition (“McCown Dep. Tr.”) at 21:06-23:08 (explaining that rerating under the placeholder weight measure rule was inconsistent with tariff notation designating the shipment as “C” (“no change”))

⁷ China United’s own expert confirmed that the contract rate was well above market rates for almost the entire period the contract was in effect and was only approximately 10% below the market rate for the first few weeks under which cargo moved under the contract. APP 161, St. Amand Expert Report Figure 6; APP 173-176, St. Amand Dep. Tr. at 96:12-99:8; APP 190, 192-193, McCown Expert Rebuttal Report ¶¶ 37, 85-87. These facts, as to which there is no genuine controversy, are not necessary to dispose of China United’s claim, but offer additional context as to why China United may have abandoned its initial theory of the case.

and noting that China United’s expert Kardian did not opine on whether application of the placeholder weight measure rule was appropriate). And although China United’s expert attempted to apply this placeholder rule as a default in periods when China United had no tariff in place, the rule states on its face that it does not apply by default. *See* SMF ¶ 38.

The absurdity of China United’s attempt to apply this non-applicable tariff rule to achieve a positive reparations claim is shown by the results. Under one approach, China United’s expert applied the “placeholder” rule for the period from May, 2022, when cargo started to move under the contract, to August 9, 2022 when China United finally put a tariff in place for the port pair under which the cargo was moving. SMF ¶ 34; *see* APP 178, St. Amand Dep. Tr. at 141:01-20; APP 191, 197, McCown Expert Rebuttal Report at ¶¶ 72, 122-125. This yielded a claim of \$157.4 million. SMF ¶ 35. Under a second approach, the “placeholder” rule was also applied for the other “gap” periods in which China United had allowed its tariff to lapse, yielding a claim of \$384 million. SMF ¶¶ 36, 37; APP 191, 198, McCown Expert Rebuttal Report at ¶¶ 72, 184. The figures are derived from a rate no carrier charged, no shipper paid, and the parties expressly agreed would not apply, producing claimed damages that bear no rational relationship to any alleged injury or to commercial reality.

Since China United has not stated a claim or shown actual injury, and since its rerating theory has already been rejected, its reparations claim would fail no matter how the rerating was calculated. Amazon mentions the amounts yielded by China United’s misuse of the “placeholder” tariff rule here because they show the level to which China United has sought to abuse the Commission’s processes to turn a \$31 million contract dispute being litigated in another forum into improper Shipping Act claims for hundreds of millions of dollars. Put simply, no shipper has ever paid \$35,000 to move a single container along this trade lane; no carrier has ever charged

such a rate; and China United itself expressly agreed by contract that Amazon would not pay tariff rates at all. A reparations theory that asks the Commission to award between \$157 million and \$384 million premised on a rate no one has ever charged, no one has ever paid, and the parties expressly disclaimed cannot be reconciled with the Shipping Act's actual-injury requirement or with basic principles of remedy. Amazon respectfully submits that this proceeding is appropriate not only for summary disposition but also for an award to Amazon of its attorney's fees.

CONCLUSION

China United's Section 41102(a) claim is legally insufficient because China United has not alleged or shown the fraud or concealment necessary to maintain such a claim, or that any fraud or concealment allowed Amazon to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply. China United has also failed to present evidence of any actual injury as is required for its reparations claim under the Shipping Act, any legally cognizable basis for its rerating theory for reparation, or any factual basis for the amount claimed. Amazon respectfully requests that the Presiding Officer grant summary decision in its favor, dismiss China United's remaining claim with prejudice, and award Amazon its reasonable attorneys' fees and costs pursuant to 46 U.S.C. § 41305.

Respectfully submitted,

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August 7, 2026

CERTIFICATE OF SERVICE

I certify that on this 7th day of August, 2026 the aforesaid motion has been filed electronically with the Secretary, with a copy to judges@fmc.gov and to the following parties of record, as provided by the Initial Order in this proceeding.

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